

Pricing is a test of belief

Week 6, Lecture 1 · LangoBee to \$10K MRR

Summer 2026 · Operating a Solo Language App from Zero Revenue

What we'll cover

- What a value metric is and why it matters before you set a price
- Premium-only vs freemium: what each model tests at pre-validation scale
- LangoBee's current price against LingQ, Duolingo Super, and Dreaming Spanish
- Van Westendorp: a four-question method for surfacing price sensitivity in conversation
- Why the first job is not optimizing price but making one real trial happen

The value metric

Cost-plus vs value-based pricing

Two mental models for arriving at a price:

- **Cost-plus:** what it costs you to deliver the product, plus a margin
- **Value-based:** what it is worth to the customer if it works

Cost-plus prices the seller's effort. Value-based prices the buyer's outcome.

For a language app: delivering 5,000 words of comprehensible Spanish per session costs near-zero in compute. The value to the learner is being able to hold a conversation in two years. Those numbers are very far apart.

(Hale, 2019: [youtube.com/watch?v=jwXlo9gy_k4](https://www.youtube.com/watch?v=jwXlo9gy_k4))

The value metric defined

The value metric is the unit of value your product delivers for which customers are willing to pay more as they receive more.

Examples by category:

- **Per-seat:** Slack (value = team communication capacity)
- **Per-usage:** Twilio (value = messages sent)
- **Per-outcome:** Duolingo Super (value = uninterrupted learning streaks)
- **Flat subscription:** LangoBee (value = unlimited access to a curated comprehensible-input library)

Flat subscription works when the ceiling on usage is not a ceiling on value. A reader who spends 3 hours/day still gets the same subscription.

(Campbell, 2016)

Where LangoBee sits in the competitive frame

Product	Monthly price	Annual price	Model
LingQ	\$12.99/mo	~\$107/yr	Premium subscription
Duolingo Super	~\$7/mo	~\$84/yr	Freemium + premium tier
Dreaming Spanish	~\$8/mo	~\$60/yr	Freemium + premium tier
LangoBee	\$7.99/mo	\$49/yr	Premium-only, CC-required trial

LangoBee undercuts LingQ by 38% on monthly and prices at Dreaming Spanish parity. The annual plan at \$49 is the lowest-priced annual option in the set.

Pricing at this level claims: the product delivers comparable or greater value than Dreaming Spanish at no premium. That is a claim, not a fact. The interviews this week test it.

Premium-only vs freemium

What each model tests

Both are legitimate. They test different things at pre-validation scale.

Premium-only (current LangoBee):

- Tests: is the value proposition strong enough that strangers pay before they know you?
- Signal: a paying user is proof of perceived value, not just curiosity
- Risk: friction kills early-stage funnel before you learn anything

Freemium:

- Tests: can you grow an audience cheaply enough that a small conversion rate covers costs?
- Signal: usage without payment tells you about interest, not value
- Risk: free users rarely become paying users; the conversion math is harder than it looks

The decision is not "which is better in general." It is "which tests the right hypothesis given what you know now."

(Campbell, 2022; Poyar, 2022)

The freemium math problem

Per 1,000 visitors (Poyar, 2026 benchmarks):

- **Freemium:** ~90 signups, ~5 paying customers (5.6% free-to-paid)
- **Free trial (CC-optional):** ~45 signups, ~3.6 paying customers (8% free-to-paid)
- **CC-required trial:** ~25 signups, ~6-12 paying customers (25-50% free-to-paid)

The CC-required model produces fewer top-of-funnel entries but more paying customers per visitor. At LangoBee's current traffic (174 direct visitors/30d from Discord), the CC-required path yields the most signal per real human reached.

Freemium scales when top-of-funnel is large. LangoBee's top-of-funnel is not large.

(Poyar, 2026)

The locked decision

Premium-only is the current locked decision. It is not re-litigated here.

The question that reopens it: week 2's pivot criteria. If the next four weeks produce zero trial_started events from real humans, and the interviews show that price is the barrier (not product or awareness), then freemium becomes a pivot hypothesis with a defined test.

Until then: premium-only is the hypothesis under test. The test is whether you can make one person pay.

Van Westendorp: pricing conversations

Four questions, one conversation

Van Westendorp price sensitivity meter uses four questions asked in sequence:

1. "At what price would you consider this product so cheap that you'd question its quality?"
2. "At what price would this start to feel like a bargain, a good deal?"
3. "At what price would this start to feel expensive, but you'd still consider it?"
4. "At what price would this be so expensive you would not buy it regardless of quality?"

Each answer gives you a threshold. The acceptable price range sits between the "too cheap" and "not in any circumstances" answers. The sweet spot is where "bargain" and "getting expensive" cross.

(Ramanujam, 2022)

Running it as a Mom Test conversation

Van Westendorp works best embedded inside a Mom Test conversation, not as a survey sent cold.

Sequence for a WTP interview this week:

1. Open with life questions (week 5 pattern): how do you currently practice Spanish? what does a good week look like?
2. Ask about spending: what tools do you currently pay for, and how much?
3. Transition to the product: let me show you what LangoBee does (2-minute demo)
4. Ask the four Van Westendorp questions with the product visible
5. Close with: "if I told you it was \$7.99/month, what would your reaction be?"

The final question is not in the standard method. It anchors to the actual price and measures reaction, not just the abstract range.

(Ramanujam, 2022; Fitzpatrick, 2013 via week 5)

Customers buy the outcome your product delivers, not its feature list.
Pricing must reflect what the outcome is worth to the buyer, not what the features cost to build. (Paraphrased)

Madhavan Ramanujam, The Art and Science of Pricing (2022)

Lenny's Newsletter interview

Take-aways

1. Value-based pricing anchors price to the buyer's outcome, not the seller's cost. For a language app the outcome is conversational fluency: the value is real and measurable.
2. Premium-only and freemium test different hypotheses. Premium-only tests willingness to pay before proof. Freemium tests whether volume can compensate for low conversion. LangoBee is running the premium-only test.
3. At LangoBee's current traffic volume, the CC-required trial produces more paying customers per visitor than freemium even with a smaller top-of-funnel.
4. Van Westendorp gives you a price range from real conversations, not a spreadsheet. Run it this week inside the five WTP interviews.
5. The first job is not optimizing price. It is making one real trial happen. Zero trial_started events means price optimization is premature.

What's next

- **Section this week:** willingness-to-pay interview script and price-positioning worksheet (includes week 5 retrieval drill and a week 3 interleave task)
- **Reading:** "Week 6: Price as a hypothesis" at </c/langobee-10k-mrr-26su/readings/wk06>
- **Lecture 2 (this week):** The trial funnel: CC-required mechanics, trial length evidence, firing the first trial_started
- **HW3 "First dollar" goes out this week:** your deliverable is one real trial_started event in PostHog